

HEDGEYE DAILY DIGEST

Daily research digest | August 9, 2026 (GMT+8)

Markets were closed over the weekend, so this digest covers the most recent publishing day — **Friday, August 7** (as “Today”) — and **Thursday, August 6** (as “Yesterday”). Hedgeye's process took a decisive turn around one word: **#Quad3**. Keith McCullough covered all precious-metals shorts and now treats **Gold** as a bullish allocation after a “textbook phase transition” (bullish **TRADE** breakout near **\$4,101** plus a **TREND** breakout), while a soft U.S. jobs report drove the **10-year yield to ~4.59%** — the bottom of its Risk Range — reinforcing the short-dollar / long-gold pairing. The other side of the book stayed defensively short: **South Korea's KOSPI** has crashed **-31.3%** from its peak and semiconductors remain a core short even as the broad U.S. tape stays constructive on a **3-1-2 monthly Quad path**.

Today's Publications — Friday, August 7

EARLY LOOK — “#Quad3 Longs: Gold, Healthcare, etc.”

Early Look · Keith McCullough · 08/07/26 07:47 AM EDT

Keith frames the day around **#Quad3** positioning and the discipline of committing to the Signal. The centerpiece is **Gold**, which he says just completed a “textbook Hedgeye Phase Transition”: the Risk Range signaled **higher-highs for 8 straight trading days**, then Gold broke out above its immediate-term **TRADE** level and is now breaking out on **TREND**. Gold is described as the **#1-ranked Major Asset Allocation for #Quad3**.

He contrasts this with two things he says the crowd got wrong: not rotating out of Semis (Hedgeye flipped from long to short **DRAM** “right on Signal Time”) and hoping South Korean stocks (**EWY**) would stop falling. The other **#Quad3** longs he flags as Signaling Buy and back-testing well are **Healthcare (XLV)**, **Tech — specifically Software, not Semis, REITs (XLRE)** and **Energy (XLE)**, with long-short discipline within the same sector style (community example: **long Atlassian (TEAM)** / **short The Trade Desk (TTD)**).

Quad positioning: #Quad3 (U.S. monthly path **3-1-2**, Aug–Oct).

Investment implication: In **#Quad3** with a falling dollar and lower yields, lean into **Gold, Healthcare, Software, REITs and Energy** while staying short **Semis/DRAM** and **South Korea** — process over emotion, adapt as the Quad shifts.

Asset	Risk Range	TREND
10Y UST Yield (UST10Y)	4.59-4.74	Bullish
High Yield (HYG)	78.95-79.70	Bullish
Investment Grade (LQD)	105.4-107.1	Bearish
S&P 500 (SPX)	7375-7826	Bullish
NASDAQ Comp (COMPQ)	24441-26701	Bullish
Russell 2000 (RUT)	2901-3058	Bullish
Technology (XLK)	174-190	Bullish
Health Care (XLV)	160-168	Bullish
Real Estate (XLRE)	44.40-46.20	Bullish
Volatility (VIX)	14.74-17.88	Bearish
U.S. Dollar (USD)	99.01-100.71	Bearish

Asset	Risk Range	TREND
WTI Crude (WTIC)	72.63-82.60	Bearish
Nat Gas (NATGAS)	2.55-2.79	Bearish
Gold (GOLD)	4103-4331	Bullish
Copper (COPPER)	6.40-6.85	Bullish
Silver (SILVER)	57-66	Neutral

THE MACRO SHOW — Summary Notes

The Macro Show · 08/07/26 10:22 AM EDT

The clearest new development was the **Gold breakout confirming a major positioning shift — 8 consecutive higher lows** in the Risk Range, a bullish TRADE breakout near **4,101** and a TREND breakout, with **all precious-metals shorts now covered** (a material change). Rationale: **Quad 3 + falling bond yields + a weaker dollar**, with the explicit **short-dollar / long-gold** pairing maintained.

On the short side, **South Korea (EWY)** stays a core short in “crash mode” (KOSPI ~**31% below** its bubble peak), alongside **DRAM** and **MINV**. Semis remain short — but being bearish semis is **not** the same as bearish the S&P 500 (the book is **short semis, long software**). **Nvidia** was treated differently: TRADE and TREND bullish, so the preferred expression is “buy Nvidia and short semis” (noting trading restrictions; not called a position).

Keith favors a **broadening U.S. market** — long **equal-weight (RSP)**, with the **SPX Risk Range logging a fourth straight higher-high** and **VIX** in the “investable bucket.” **Russell 2000** is the “next man up” (not yet bought). **Energy (XLE)** and **Healthcare (XLV)** exposure were increased, plus added **dividend/quality (HDV)**.

A notable **new trade: Keith “got long a steepener” and bought IVOL back**, expecting rate expectations to fall into next week's CPI before inflation reaccelerates later in the quarter. Other updates: **Bitcoin no longer short** (neutral — TRADE ~64k, TREND ~68k), **Copper bullish**, added to the **Philippines (EPHE)**, **Colombia (COLO)** long, and Signal Strength calls bullish **MSFT/AAPL/LLY** vs. bearish **GOOGL/APP/WDC**.

MOMO TRACKER — Mag7 (+0.2%), 8 of 9 RRs Downside>Upside, KOSPI -31.3%

Momentum Stock Tracker · Christian Drake & Ryan Ricci · 08/07/26 07:47 AM EDT

A data dashboard of price/volume/volatility signals. Headline reads: the **Mag7 was roughly flat (+0.2%)**, **8 of 9 Risk Ranges showed more downside than upside** (a cautious skew for the momentum complex), and the **KOSPI's crash deepened to -31.3%** from peak — the same Asia momentum risk factor Keith keeps flagging.

CAPITAL ALLOCATION PRO — Daily Dashboard | Model Portfolios

Capital Allocation Pro · 08/07/26 09:19 AM EDT

No new model-portfolio trades were pushed. The team pointed to a fresh **Key Callouts video (recorded 6 Aug)** and the **August Monthly Commentary** (posted Aug 5). **Trend and Tail levels for the 68 ETFs were refreshed using July 31 closing prices**, per the standard 3–4 week cadence. Under the “pull vs. push” philosophy, an email only arrives when the research demands action — none did here.

SIGNAL STRENGTH STOCKS — 67 Stocks (4 Added, 2 Removed)

Signal Strength Stocks · 08/07/26 11:36 AM EDT

The quantamental list grew to **67 names**. **Added: SPHR, MDB, ETSY, FRPT**. **Removed: ILMN, RHP**. (ETSY was removed Thursday and re-added Friday — the Signal, not opinion, governs.)

FROM THE DESK — Macro Week Summary Notes | August 7th

From The Desk · 08/07/26 05:46 PM EDT

The weekly research recap (full content behind a subscriber link). This edition packages the **Macro Dashboard**, **Weekly Macro Commentary**, **VIX Gauge**, **U.S. Monthly Quad Forecast**, **Chart of the Week** and recommended research — the consolidated wrap of the week's #Quad3 shift.

Also Friday: ETF Pro Plus posted **6 new ETF Pro changes** (10:27 AM EDT); Crypto Quant noted **BTC -0.4%**, expanding 24/5 trading, the CLARITY Act reportedly delayed to September, and Tether Gold rising (07:09 AM EDT).

Yesterday's Publications — Thursday, August 6

EARLY LOOK — “The Paradise Paradox”

Early Look · Josh Steiner, CFA · 08/06/26 07:58 AM EDT

What: A process-focused Early Look using John Calhoun's “Universe 25” mouse experiment as a metaphor — abundance without purpose creates a “behavioral sink.” In macro, that looks like consuming endless data without a repeatable framework to separate signal from noise.

Why: The **Quads** (where the growth/inflation cycle is going) and the **Signal** (what price/volume/volatility say now) answer different questions, and you need both. Oil is the case study: a record one-week shock and **Bullish TREND in March** (May CPI **4.25%** vs. **2.41%** in Feb; energy **+23.5% Y/Y**), then a retrace from **\$90** to the **\$60s** that flipped WTI/Brent to **Bearish TREND** — “same commodity, opposite Signal.”

Who: Josh Steiner (Managing Director); framing from Peter Diamandis's *We Are As Gods*.

Key numbers: **Q3** tracking a shallow **Quad 4** (growth **-17bps to 1.93%**, inflation **-31bps to 3.55%**); monthly path **Aug–Oct = Quad 3, 1, 2**; **August CPI Nowcast 3.60%** (-5bps revision); **Q4 = Quad 2** (growth **+25bps to 2.18%**, inflation **+20bps to 3.75%**); **Q1'27 = Quad 4**, with **Feb (63%)** and **May (78%)** flagged as high-probability difficult months.

Takeaway: Position probabilistically around a shifting monthly Quad distribution rather than anchoring to a point forecast — “keep the why.”

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Russell 2000 (RUT)	2950-3051	Bullish
Technology (XLK)	173-188	Bullish
Health Care (XLV)	160-168	Bullish
Real Estate (XLRE)	44.44-46.30	Bullish
Volatility (VIX)	14.76-19.49	Bearish
U.S. Dollar (USD)	98.75-100.74	Bearish
WTI Crude (WTIC)	72.45-82.79	Bearish
Nat Gas (NATGAS)	2.59-2.79	Bearish
Gold (GOLD)	4029-4301	Neutral
Copper (COPPER)	6.40-6.85	Bullish
Silver (SILVER)	55-63	Bearish

FROM THE DESK — KM's Top 3 (KOSPI / Momentum / Sectors)

From The Desk · Keith McCullough · 08/06/26 07:19 AM EDT

What: Keith's three things — **KOSPI, Momentum, Sectors** — framed as the August Quad Shift putting disciplined PMs “on the front foot.”

Why / Key numbers: **KOSPI** failed TRADE momentum resistance, **-4.6% overnight, -22% in a month, -31% from its #MOAB peak**; NASDAQ vol (VXN) “way too complacent” (QQQ implied vol at a **-19% discount** to 30-day realized). **High-Beta Momentum** fell another **-2.4%**, taking 1-month Momentum to **-14.2%** (net long Software / net short Semis); **Long Gold** led the Factor Exposure Dashboard. **Sectors:** exiting **Utilities (XLU)** in July was “critical” (XLU **-1.0%** vs. **XLV +1.3%**); he **bought more XLE** into the close despite oil back to Bearish TREND. Also long **VYM, XLRE, IAK, FAB, DESK, NOBL, IPAY, RSP**.

Who / Levels: Keith McCullough. **SP500 Risk Range 7354-7795; UST 10Y 4.57-4.74%.**

Takeaway: “Lots to do” — lean into Quads, sector styles and factor exposures; don't be the passive crowd.

THE MACRO SHOW — Summary Notes

The Macro Show · 08/06/26 10:37 AM EDT

What / Why: South Korea and high-beta momentum framed as the central downside signals — **KOSPI -4.6%, -22% in a month, -31% from peak**; Hedgeye stays short **EWY** and **SoftBank**. Former semi longs **SanDisk, Marvell, Applied Materials** were exited before drawdowns accelerated. The book rotated **out of Utilities into Healthcare**, stays **long equal-weight RSP** (not the cap-weighted S&P despite three straight higher-highs), on a bullish **3-1-2** Quad path that still allows **~5% downside**.

Who / Key numbers: **BJ's Restaurants (BJRI)** highlighted as a high-conviction Signal Strength long, **+60%** since its May add. NASDAQ vol near **24** (range **22–31**), implied at a **~19% discount** to realized (a warning). **Gold** increased and now the leading Factor Dashboard exposure; **Energy (XLE)** newly added (Exxon a primary driver); Keith admitted a **mistake exiting Copper**. Longs include **Colombia (COLO)**; shorts include **Israel (EIS), Qatar (QAT, largest short), U.S. dollar** and **Treasuries (TLT)**. **Netflix** flagged as a possible short-to-long reversal (bullish TRADE, higher low). Book had **63 longs / 52 shorts (115 eligible)**.

Takeaway: Hold winners while signals hold, cut fast failures with stops — construction and sizing beat predicting earnings.

MOMO TRACKER — Mag7 (-0.6%), TREND Dispersion, ATH MOC Imbalance

Momentum Stock Tracker · 08/06/26 09:13 AM EDT

Data dashboard. Headline signals: **Mag7 -0.6%**, rising performance and TREND **dispersion** across the group, and an all-time-high **market-on-close (MOC) imbalance** — “lots to do.”

SIGNAL STRENGTH STOCKS — 65 Stocks (7 Added, 5 Removed)

Signal Strength Stocks · 08/06/26 12:54 PM EDT

Added: **FSLY, PVH, REAL, BBWI, HD, W, TEAM**. **Removed:** **CASY, XYZ, BROS, TWLO, ETSY**.

CAPITAL ALLOCATION — Key Callouts & Model Portfolio Update

Capital Allocation Pro / Capital Allocation · 08/06/26 01:14 PM & 01:05 PM EDT

The team posted a new **Key Callouts video** and a **Model Portfolio Update video** for August 6 — the “signal, not noise” updates behind the sector rotation (out of Utilities, into Healthcare and Energy) discussed on the show.

Also Thursday: ETF Pro Plus posted **5 new ETF Pro changes** (10:46 AM EDT); Crypto Quant noted **BTC -0.4%**, ETF inflows **+\$720M WTD** (07:50 AM EDT); Digital Assets published its **Miner Weekly Performance Monitor** (06:46 AM EDT).